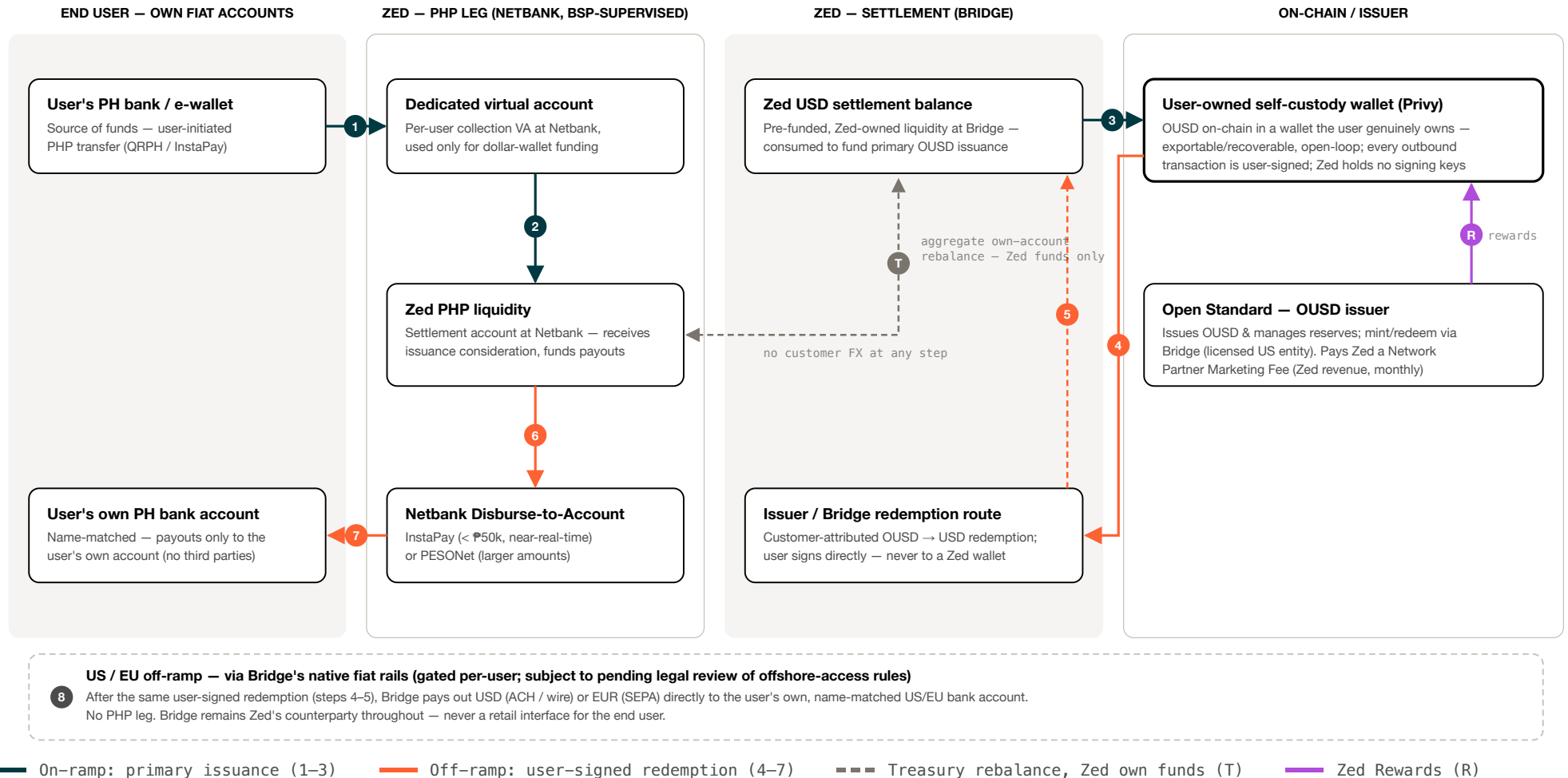


OUSD Dollar Wallet — Funds Flow

PREPARED FOR BRIDGE.XYZ · KYB ONBOARDING · CONFIDENTIAL

Product: a dollar-denominated store-of-value wallet for Zed's existing, KYC'd Philippine credit cardholders. The user requests **primary issuance of OUSD** (issued by Open Standard, orchestrated via Bridge) and pays the PHP amount due at a transparent reference rate — **zero Zed spread or fee**. OUSD is **minted directly to the user's own self-custodied Privy wallet**; Zed acts as distributor, collection agent, and settlement agent. Zed never holds customer OUSD, never creates a customer USD balance, and never executes customer FX. Store of value only — no payments.



Flow detail

— On-ramp — primary issuance

- 1 User requests OUSD;** the app shows the PHP amount due at a transparent reference rate — **zero Zed spread or fee.** The user sends PHP from their own bank or e-wallet (QRPH or transfer) to their dedicated Netbank virtual collection account.
- 2 Deposit is auto-matched** to the user and issuance request; PHP settles into Zed's PHP liquidity as issuance consideration. Unmatched or out-of-limit deposits alert ops within 15 minutes; default remedy is refund to source.
- 3 Primary mint.** Zed consumes its own pre-funded USD settlement balance at Bridge, and OUSD is minted directly to the user's wallet. No customer USD balance or entitlement exists at any point. Records: PHP received, reference rate, USD settlement consumed, Bridge transaction ID, on-chain mint hash.

— Off-ramp — direct redemption

- 4 User signs OUSD from their own wallet directly to the issuer/Bridge redemption route** (customer-attributed via Bridge customer records). Zed never receives or holds customer OUSD.
- 5 OUSD is redeemed/burned by the issuer;** USD proceeds settle into Zed's settlement balance at Bridge, attributed to the specific redemption operation.
- 6 The PHP payout is funded from Zed's own PHP liquidity** at Netbank — the user does not wait on redemption settlement.
- 7 Netbank's Disburse-to-Account API pays the user's own, name-matched PH bank account** — InstaPay for < ₱50k (near-real-time), PESONet above. Records: redemption tx hash, burn reference, USD settled, PHP paid, rail reference.

— Treasury & rewards

- T Aggregate own-account rebalancing:** Zed periodically converts its own net PHP position into USD (and vice versa) via a partner bank / financial institution to replenish its settlement balances — Zed's own funds only, never a customer-specific trade; dual-approved and ledger-recorded. Customer operations execute instantly against Zed's pre-existing balances.
- R Open Standard pays Zed a Network Partner Marketing Fee** (accrues daily on registered wallets, paid on-chain monthly) — booked as Zed revenue. Separately, Zed funds a variable **"Zed Rewards"** program for users; preferred fulfillment is incremental OUSD minted directly to user wallets.
- 8 US/EU off-ramp (gated):** per-user enablement, pending legal review; redemption as in 4–5, then Bridge's own fiat rails to the user's own US/EU account. Bridge remains Zed's counterparty — never a retail interface for the user.

Controls & compliance posture

- **KYC:** every user is already KYC'd via Persona as a Zed cardholder; KYC data is shared with Bridge at onboarding (users complete only any delta Bridge requires).
- **Own-account-only fiat legs:** deposits from, and payouts to, accounts in the user's own name (name-match enforced; no third parties) — minimizing mule/AML surface.
- **No custody, no customer fiat balances:** customer OUSD is never held in any Zed-controlled wallet — mints go directly to, and redemptions are signed directly from, the user's wallet. No record represents a customer USD balance or entitlement.
- **Self-custody, open-loop:** the wallet is genuinely user-owned (exportable/recoverable); Zed holds no signing keys and cannot move user funds. Externally received OUSD is shown truthfully; compliance screening gates in-app actions, not ownership.
- **Transaction monitoring:** ramp events feed Zed's existing monitoring/screening stack (incl. Comply Advantage); on-chain activity on registered wallets is monitored.
- **Zero issuance economics:** no Zed spread or fee on the PHP↔OUSD legs — the PHP amount due is set by a transparent reference rate.
- **Double-entry ledger** over all Zed-controlled funds (liquidity balances, in-flight operations, Marketing Fee revenue, Zed Rewards); append-only, balanced postings for every issuance, redemption, rebalance, and rewards event.
- **Daily three-way reconciliation:** internal ledger vs. Bridge / bank statements vs. on-chain OUSD across user wallets. Any break pages ops; the program is operated to a zero-loss bar (no break unresolved > 24h).
- **Dual control** on every manual money movement (treasury rebalance, manual disbursement, refund): one operator initiates, a second approves, all audit-logged.
- **Destination-account data** encrypted at rest and masked everywhere; full account numbers materialized only at disbursement time.
- **Halt procedure:** documented "close the ramp" runbook — on-ramps can be disabled at any time while off-ramps keep working (withdrawal-priority posture).

Parties & roles

PARTY	ROLE IN THE FLOW	NOTES / POSTURE
Zed	Distributor and collection/settlement agent: user app, PHP collection and local disbursement, own-account treasury, Zed Rewards program.	Never custodies user assets; holds no wallet signing keys; creates no customer fiat balances; charges no issuance spread/fee. Operates double-entry ledger and daily reconciliation over all Zed-controlled funds.
End users	Source and destination of all fiat; sign every outbound OUSD transaction from their own wallet.	Existing Zed credit cardholders — already KYC'd (Persona) and credit-underwritten, accounts in good standing.
Bridge.xyz	OUSD issuance orchestration: primary mint to user wallets, customer-attributed redemption routes, Zed's USD settlement balance, US/EU fiat payout rails.	Licensed US entity. Zed's counterparty throughout — never a retail interface for end users. Bridge customer records created from shared Persona KYC data.
Open Standard	OUSD issuer; reserve management; pays Zed a Network Partner Marketing Fee on OUSD held in registered wallets.	Public OUSD launch targeted 9/15/26. Marketing Fee is Zed revenue, distinct from the user-facing Zed Rewards program.
Privy	Embedded self-custody wallet infrastructure for user OUSD balances.	Wallets are genuinely user-owned: exportable/recoverable, usable independently of Zed; no Zed signer, owner role, or export capability.
Netbank	PHP collections (per-user virtual accounts) and PHP payouts (Disburse-to-Account: InstaPay / PESONet).	BSP-supervised. Same rail Zed's users already use today for card bill payments.
Treasury FI	Partner bank / financial institution for Zed's aggregate own-account PHP↔USD rebalancing.	Zed funds only — no customer FX; dual-controlled and ledger-recorded.
Persona	KYC provider for all users; artifacts shared with Bridge so users don't re-KYC.	Existing vendor relationship covering the full cardholder base.

Rail fees, reference-rate sourcing, and rewards program parameters are finalized in tech design. Reflects Zed's PRD v5 (2026-08-28); provided to Bridge for KYB purposes.